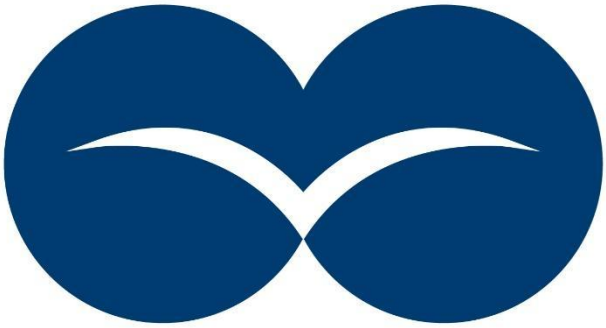
RISK MANAGEMENT - POLICY



SEAGULL
MARITIME

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RISK MANAGEMENT POLICY

INTRODUCTION

Seagull Maritime operates in a volatile industry across multiple geographic regions across the world. Therefore, our operational environment is subject to continual change, and the business group faces continual uncertainties that need to be monitored and managed to not impact the business to any serious degree. Where we identify uncertainty, we need to ensure that we have an appropriate response. Our level of response needs to be proportionate to the significance of the uncertainty and increase our ability to achieve our objectives.

Uncertainty can be considered positive or negative. If positive, these can be considered opportunities. Other uncertainties may be considered a threat to our business or person and as such be deemed a negative or "risk." Where uncertainty is negative or a risk, we cannot leave these elements to chance and must identify what intervention may be required to reduce the impact to our business or person by these identified risks.

Knowing our operational environments, our business and all uncertainties we deem significant and putting in place proportional and appropriate measures to manage these uncertainties is what we define as "risk management."

As a small to medium enterprise, we must acknowledge that our capability and resource to manage risk has limitations. Our aim, therefore, is to achieve a response to risk that is prioritised in accordance with our evaluation of the risks.

PURPOSE

This document provides information on how Seagull Maritime manages our risks (or uncertainties) and details in clear terms our methodology and practices, our "framework" for managing the risks/uncertainties we are likely to encounter in the management of our business and operations.

It provides exposure to our principles for managing uncertainty and can be considered an instruction manual on how Seagull Maritime manages risk. It is a description of our systematic practices for managing risk in our business.

As we have created a system for the management of risk, it is to be considered iterative. As we conduct ourselves across the business, we sustain our success by seeking continual improvement. By formalising our practices for risk management within this framework we are better able to periodically review its suitability and sufficiency and adjust accordingly where necessary. Our focus is to ensure every iteration is an improvement on the previous.

It is essential we have a robust, thorough and consistent method of assessing risks to our business and operations and ensure we treat and implement mitigating controls where required.

SCOPE

The scope of this risk management policy applies as detailed:

- ✓ All business entities, departments and support functions
- ✓ All Seagull Maritime employees
- ✓ All personnel working on behalf of Seagull Maritime including those sub-contracted to carry out Seagull Maritime activities

No part or operation of Seagull Maritime is outside of scope.

OWNERSHIP, REVIEW & UPDATE

The Group Compliance Director is responsible for the direct ownership of and proposed revisions to this risk management framework.

In conjunction with the senior management, the policy and framework will be reviewed and approved on a minimum of an annual basis to ensure this framework remains aligned with our overall business objectives, current or future planned changes in operation and our annual business strategy and plan.

As part of this framework, we will use internal auditing and exercise and testing processes to provide timely and effective monitoring and assurance. This will help us ensure the continuing appropriateness of this framework, it's implementation and our ongoing compliance with it and its implementation.

RISK MANAGEMENT POLICY STATEMENT

Seagull Maritime considers risk management fundamental to our business, operations and good management practice.

Our effective management of risk will provide an essential contribution towards the achievement of our strategic and operational objectives and goals while ensuring the safety and security of our employees, our clients and their assets.

Risk Management will, and must, be an integral part of our decision making and routine management. It is incorporated within our strategic and operational planning processes across Seagull Maritime and our operational activities.

Risk assessments should be conducted on all new ventures and opportunities, including projects, processes, systems, commercial activities and goals. Any risk or opportunities arising from these assessments will be identified, analysed and reported to the appropriate management level.

The objectives of our Risk Management Policy are:

- ✓ Provide a consistent and systematic approach to identify, analyse, evaluate, treat, monitor and report on risks associated with Seagull Maritime.
- ✓ Ensure we conduct risk assessments and implement controls that aligns with Seagull Maritime risk appetite.
- ✓ Provide assurance through internal and external audit processes that internal controls are in place and operating effectively.

Seagull Maritime will maintain a centralised risk register that will be available to all management within the business. Where appropriate and if deemed required, we will maintain departmental registers.

We are committed to ensuring all our staff are provided with adequate training and guidance on the principles of risk management and all staff are clear on their responsibilities regarding the effective implementation of risk management.

We will regularly review and monitor the implementation and effectiveness of our risk management framework and its associated processes. As the business evolves this year, we will also give particular focus to the development of a new and appropriate risk management culture across all Seagull Maritime.

ROLES AND RESPONSIBILITIES

Leadership / Directors

- ✓ Approve funding including the appointment of staff
- ✓ Act as the risk champions for Seagull Maritime, driving risk management from the top down
- ✓ Ensure all major decisions are subject to a risk assessment
- ✓ Review, with regularity, the most serious risks (including those that may be escalated) that may threaten the Seagull Maritime Business Plan, Strategic Objectives and Policies

Group Compliance Director

- ✓ Direct ownership and implementation of this policy across the Group and Seagull Entities
- ✓ Oversight and management of Compliance Managers across the Group and Seagull entities

Compliance Manager

- ✓ Manage and maintain the centralised risk register
- ✓ Manage and monitor the requirements for departmental or operation specific risk registers and assessments

Staff

- ✓ Ensure they understand the risk management framework, process and reporting requirements
- ✓ Ensure risk assessments are completed for major activities, projects or contracts as required
- ✓ Support internal and external audits

- ✓ Carry out the risk management process on all major activities, locations and projects
- ✓ Ensure sub-contracted personnel are operating in accordance with the risk management framework

Note: For this procedure, the Compliance Manager is the designated person responsible for their relevant entity, e.g. Seagull Maritime Malta.

The Group Compliance Director can, at any time, be deemed the Compliance Manager for the purpose of this procedure or in the absence of a relevant Compliance Manager.

INTERNAL AUDITING

Internal audits will provide assurance that our risk management practices are effective.

Internal audits will be managed, integrated and scheduled within our management systems.

HIERARCHY OF RISK

We must ensure that our management of risk at strategic, programme and operational levels is integrated so that the levels of activity support each other. By doing this, we will ensure that the risk management strategy is led from the top and embedded in our normal working routines, practices and activities. All staff should be aware of the relevance of risk to the achievement of their objectives.

ESCALATION PROCEDURE

Escalation is our process when an individual's limit of authority has been reached or is likely to be reached. Our escalation process enables our staff and individuals to understand who they can speak to when escalation is required if threats or opportunities are identified that will significantly affect objectives.

Points of escalation for Seagull Maritime are detailed as follows:

Strategic

Escalate to Senior Management

Programme (Departmental)

Escalate to next level of Management or Senior Management where no next level is applicable

Operational

Escalate to the next in line manager or department

OPPORTUNITIES

Any events or uncertainties that, when analysed, present themselves as opportunities should be escalated to the directors for review.

Senior management may seek to include them into the strategy/objective setting process.

For many opportunities, the directors will conduct an immediate review and dynamic risk assessment of the opportunity to allow Seagull Maritime to take advantage of the opportunity and then assess its inclusion into the strategy/objectives of the business where this may be applicable. A further detailed, written risk assessment may then be undertaken if the opportunity requires it.

OUR UNDERSTANDING OF RISK

Our risk management framework understands risks as follows:

Current Risk

Current risk is the rating of the risk event at the time of reporting. This allows us to track the effect of control treatments that have already been applied.

Inherent Risk

The inherent risk is the exposure arising from a specific risk before any control has been applied / action taken to manage it, or if current controls fail.

Residual Risk

Residual risk is the exposure arising from a specific risk after action has been taken to manage it and assuming that the action is effective.

Secondary Risks

Our response to risks (risk responses such as actions or implemented controls) may in turn create new or additional risks (in addition to leaving residual risks). These 'secondary risks' can require 'raising' and the devising of their own response strategies.

OUR RISK MANAGEMENT FRAMEWORK

Our management of risk is not a linear process. We are required to balance several elements, linked and unlinked, that may interact with each other. We need to balance these elements and interactions to ensure our risk management is effective.

We cannot manage specific risks in isolation. The management of one risk may impact on another, or management actions which are effective in controlling multiple risks simultaneously may be possible.

Our model must function in an environment where our values and our risk appetite has been defined appropriately.

Our risk appetite (or how much risk is tolerable and justifiable), our values and standards form the centre of our model.

We then identify certain key inputs and how they feed into and influence our risk appetite, values and standards.

By understanding these inputs and how they merge into our overall process allows us to generate the outputs desired from our risk management framework.

INTERNAL CONTEXT

Our security operations, other operational activities and our risk appetite are primarily influenced by our internal context, comprising various elements including our values and culture.

Our internal context does not come from one area but will be documented across our Management Systems including our Business Plans, SWOT Analysis, Policies, Risk Criteria and services that we offer

Instilling our internal context across the business is achieved through our internal communication mechanisms such as training and making documented policies etc easily and readily available.

RISK CAPACITY

Risk Capacity is a function of Seagull Maritime to bear risk in the business. Due to the operational environment that we work in, our current staff and business state, our current overall Risk Capacity is: **MODERATE**

RISK APPETITE

Risk Appetite reflects the amount of risk we as a business is willing to undertake that is acceptable to Seagull Maritime (including our clients and interested parties). As a result, risk appetite refers to corporate level attitude to risk taking and our attitude towards managed risk taking.

Within Seagull Maritime, our operational activities may require that our risk appetite is increased for certain projects or activities. As a result, our model includes for us specifying risk appetite by department or project where it is deemed required or applicable.

Seagull Maritime have linked their risk appetite to our specific categories of risk. By doing so, we establish the appetite within the category and then when we assess or define a risk, we are aware of the level of control we will look to apply based on the category.

RISK/IMPACT CRITERIA

We use Risk/Impact Criteria and Risk Appetite for defined and documented terms of reference used by operators of this risk framework to guide our risk analysis.

Risk/Impact Criteria is periodically reviewed for the operations or business activities we undertake. Our appetite for risk is then established and described through tolerances and thresholds against impact criteria. Where we find outcomes that are projected to deviate beyond prescribed limits, referral (or escalation) must happen as soon as the outcome deviation is identified and forecast. This includes forecasts that may enhance our objectives as those that may erode them.

Our risk appetite is clearly indicated in the relevant category within this procedure,

On a project level, upside risks (opportunities) are uncommon so we will find that risks to health, safety, human life and the wellbeing or reputation of stakeholders take precedent. We approach downside risks at the operational activity level by attempting to reduce their condition to "As Low As Reasonably Practicable" or ALARP.

PROJECT RISK APPETITE AND AGREED CRITERIA

Although we clearly define Seagull Maritime risk criteria and review it periodically, there may be specific projects or clients that will fall outside of day-to-day business. On such occasions, we will specifically define a risk approach for the project and consider the perceptions, values and needs of the client and other external stakeholders and factor these in. This may be in addition to our own corporate risk appetite and criteria.

Considering the use of "prompting" questions may assist us when considering how to express risk appetite.

As an example, what are:

- ✓ the Client's expectations:
- ✓ Interested party expectations.
- ✓ the attitude to risk taking by the Board and Senior management.
- ✓ the proposed Business/Project plan.
- ✓ the range of expected performance.
- ✓ Operational threats and vulnerabilities.
- ✓ minimum legal and regulatory requirements
- ✓ acceptable costs of risk control and risk management administration.

EXTERNAL CONTEXT - THE SUPPLY CHAIN

Seagull Maritime is not a self-contained organisation; we have several interdependencies on other organisations. We know this as our supply chain. Our supply chain will impact our risk management and potentially create certain additional risk (dependency risks) which need to be managed. When we consider this, we should also consider the impact of Seagull Maritime actions on our supply chain.

Dependent on our contractual requirements or operational activities being conducted, Seagull Maritime are required to subcontract or use 3rd party persons in the delivery of our services, e.g., local delivery partners[1]. Simultaneously, we relinquish some of our control and management of our service delivery and therefore our control of risk. The use of subcontractors and delivery partners is essential to Seagull Maritime operations and has many advantages but can create significant uncertainty, as culture, traditions and values may not align with ours or those of our clients.

EXTERNAL CONTEXT - OPERATING ENVIRONMENT

Beyond our supply chain, other factors will contribute to our environment where we will be required to manage risk. These factors may either generate risks that cannot be directly controlled or may constrain how Seagull Maritime are permitted to take or address risk. Often the only response we will be able to make in these cases is contingency plans. The most extreme response which needs to be constantly recognised is the decision to terminate an operation, business activity or contract.

Laws and regulations can impact the risk environment. It is important we identify how laws and operations may make demands on our operations and activities, either by requiring Seagull Maritime to do certain things or by restraining the actions we, our partners or clients are able to take.

Seagull Maritime also recognises that we are constrained by stakeholder expectation. Risk management actions, which may appear good value and effective in theory may not be acceptable to all stakeholders.

For Seagull Maritime this is often important in respect of our relationships with the public; actions that may be effective at dealing with a specific risk/threat may have other effects that the public are unwilling to accept, have an adverse impact on a/or group of rights holders or have an adverse impact/effect on a person or persons human rights.

[1] Representational risks,' (the risk that a party representing Vanguard Tech may behave in a manner inconsistent with Seagull Maritime values) may frequently be evaluated as a more significant risk then 'Reputational risks' as an organisation 'representing' Seagull Maritime may through action or inaction do something which will impact on a third party in addition to damaging Seagull Maritime reputation because of the act.

RESEARCH AND ANALYSIS

All Seagull Maritime operations and activities function within an environment (context) that influences the risks faced and provides a context within which risk needs to be managed. Our knowledge of our internal and external context provides the foundation of information vital to inform our decision making[2].

Research and analysis can be understood as the activities, both formal and informal, that gather new or existing information and bring it together to inform our decision making. Activities may include internet research or someone reaching out to someone in their professional or personal network.

Primary Research

The gathering of new data that has not been collected before, e.g. surveys or questionnaires or interviews with people or groups in our network.

Secondary Research

The gathering of pre-existing information, via print or the internet and pooling the information together.

How we balance primary vs secondary research methods will often depend on several factors such as our availability of resources or significance of risk. Any records we create from our research such as emails, discussion papers, whiteboard brainstorms etc. should be considered as evidence of our due diligence process having been undertaken. Such records will also enable risk reviews and comparative analysis over time as evidence and information changes.

[2] Sometimes referred to as the 'factual bases for decision making' – 'Facts' can be derived internally from retained internal records, and from external sources (from outside our organization).

RISK IDENTIFICATION

Identifying risks is the first step in building our risk profile (or a specific operation or project profile).

Documenting risk is essential to effective management of risk.

Seagull Maritime documents and assesses their risks in a Risk & Opportunity Register.

Seagull Maritime identifies risk in two distinct phases:

Initial Risk Identification

For operations, activities or projects where we have not previously identified the risks in a structured way or when a new operation, project or activity is being considered.

New risks not already documented in the Risk Register can be added for review directly from the Risk Register or via a risk assessment.

New entries are reviewed by the Compliance Manager and added to the risk register accordingly.

Continuous Risk Identification

Where it is necessary to identify new risks that may not have arisen previously in an existing operation or activity, changes to existing risks or risks which did exist ceasing to be relevant to Seagull Maritime or the operation or activity.

Seagull Maritime has developed a custom response within our framework for the identification of risk.

As this risk management is newly introduced, we have transferred the identified risks held in the company's previous risk register to the new risk register.

The Compliance Manager has reviewed the existing identified risks and categorised them as per our framework and our internal and external context.

Risk Workshops have been commenced whereby all staff of Seagull Maritime can contribute to:

1. The review of these risks
2. Relevance of the risks
3. Consider existing and propose new controls
4. Identify additional risks under the new categories set under our framework

It is expected that these risk workshops will be continual throughout the year and will result in a holistic approach to the identification of risk.

Additionally, Seagull Maritime promotes risk self-assessment whereby departments or individuals can review their activities and contribute to the diagnosis of risk that it faces. This can be achieved via departmental risk

workshops, possibly as an agenda item in a monthly meeting or organised independently. Suitable oversight and guidance will be provided by the Compliance Manager as required in this scenario.

Given the context of our security operations, risk self-assessment is also promoted through our operational procedures whereby our personnel or sub-contractors "on the ground" can identify and evaluate risk and act accordingly and/or alert management to the identification of risk.

. Risk Profile and Categories of Risk

Seagull Maritime has categorised risks for ease of management as follows:

(Risk Appetite in brackets below each category

POLITICAL (Moderate)	ECONOMIC (Moderate)	SOCIAL (Moderate)
✓ Government policy ✓ Political Stability ✓ Tax ✓ Industry regulations ✓ Global trade agreements and or restrictions	✓ Exchange Rates ✓ Globalisation ✓ Economic Growth/Decline ✓ Inflation ✓ Interest Rates ✓ Cost of Living ✓ Labour Costs ✓ Consumer Spending Habits	✓ Consumer Trends/Tastes ✓ Fashions ✓ Consumer Buying Habits ✓ Lifestyle Factors ✓ Career Attitudes ✓ Work Life Balance ✓ Population Demographics
TECHNOLOGICAL (Moderate)	**LEGAL (Moderate)**	**ENVIRONMENTAL (Moderate)**
✓ Infrastructure ✓ Data Protection ✓ Automation ✓ Innovation ✓ Disruptive Technologies ✓ Social Networking ✓ Upgrades ✓ Security	✓ Interested Parties ✓ Employment Law ✓ Common Law ✓ Local Labour Law ✓ Health & Safety Regulations	✓ Environmental Restrictions ✓ Sustainable Resources ✓ Corporate Social Responsibility ✓ Ethical Sourcing ✓ Transportation ✓ Procurement ✓ Supply Chain Management
OPERATIONAL (Moderate)	**REPUTATIONAL (Moderate)**	**HSE (Moderate)**
✓ Vessel ✓ Piracy ✓ Ports ✓ Transfers ✓ Occupational Health & Safety	✓ Competitor comments ✓ Public perception ✓ Client perception ✓ Supplier perception ✓ Regulatory Body perception	HSE risks are assessed and managed via HSE Risk Assessments

Many risks will overlap into other categories, and we accept this. Where necessary, we may record a secondary category for a risk to ensure it is considered accordingly.

We have categorised our risk based on PESTLE and SWOT analysis alongside our understanding of our operational environment.

We categorise our risk to assist in the management of resources and to help us understand our risk profile.

Our risk profile, as mapped, acts as an instrument for Seagull Maritime oversight for understanding the types of risk and occurrences.

RISK ANALYSIS & EVALUATION

The goal of Risk Analysis and Evaluation is to take identified concerns or opportunities, and determine if they are indeed a risk, and if so, then determining their significance so that it is clear which risks are the most important and most urgent. This requires an understanding of:

- ✓ The probability (likelihood) of the risk being realised.
- ✓ The impact if the risk was realized.

RISK BASED THINKING

Not all risks or occasions will require us to undertake a full or formal Risk Assessment process. Such circumstances may justify the application of Risk Based Thinking.

Risk based thinking is something we all do automatically and often subconsciously. Essentially it can be understood as deliberate decision making that 'weighs up' various factors and uncertainties. In simple terms Risk Based Thinking is 'good business sense', 'professional judgement' or 'common sense'. A critical ingredient is that the individual or team making the decision are competent to do so (from either current competence or that gained from additional research and analysis).

Seagull Maritime encourages risk-based thinking across the business. Where staff or personnel do not feel competent or confident to do so, the escalation process within this framework permits and encourages the sharing of the risk analysis and evaluation further up the management structure.

RISK RESPONSE

The purpose of responding to risks (risk response) is to try and turn this uncertainty to Seagull Maritime benefit by constraining threats and taking advantage of opportunities. Any action we take to respond to a risk is referred to as an "internal control." There are 5 key aspects of addressing risk:

Tolerate

The exposure (to a risk) may be tolerable without any further action being taken. Even if it is not tolerable, ability to do anything about some risks may be limited, or the cost of taking any action may be disproportionate to the potential benefit gained.

In these cases, the response may be to tolerate the existing level of risk. This option, of course, may be supplemented by ongoing monitoring and contingency planning for handling the impacts that will arise if the risk is realised.

Treat

By far the greater number of risks will be responded to in this way. The purpose of treatment is that whilst continuing with the activity giving rise to the risk, action (control) is taken to constrain the risk to an acceptable level. Such controls can be further subdivided according to their particular purpose:

Preventive Controls

These controls are designed to limit the possibility of an undesirable outcome being realised. The more important it is that an undesirable outcome should not arise, the more important it becomes to implement appropriate preventive controls. Most controls implemented in Seagull Maritime tend to belong to this category or to 'Directive Controls'.

Corrective Controls

These controls are designed to correct 'issues' (undesirable outcomes which have been realised). They provide a route of recourse to achieve some recovery against loss or damage.

Insurance can also be regarded as a form of corrective control as it facilitates financial recovery against the realisation of a risk.

Contingency planning: An important element of corrective control contingency plans such as emergency/incident plans etc. are a means by which Seagull Maritime plans for business continuity and recovery after events which could not be controlled.

Directive Controls

These controls are designed to ensure that a particular outcome is achieved. They are particularly important when it is critical that an undesirable event is avoided - typically associated with Health and Safety or with security. Most controls implemented in Seagull Maritime tend to belong to this category or to 'Preventative Controls'.

The communication of directive controls is through internal communication tools such as Policy, Plans, Procedures and Risk Workshops, most of which will be documented.

Detective Controls

These controls are designed to identify occasions of undesirable outcomes having been realised. Their effect is, by definition, "after the event" so they are only appropriate when it is possible to accept the loss or damage incurred.

Audit, both internal and 2nd party (certification audits, client audits) may be considered as a mechanism for identifying non-conformances and so contributing to detecting failings and/or undesirable outcomes.

Risk Treatment Plans

Where a risk is high or outside our risk appetite, we may implement a risk treatment plan that details the risks in more details alongside the desired and implemented controls.

Transfer

For some risks our best response may be to transfer them. This might be done by conventional insurance, or it might be done by paying a third party to take the risk in another way. This option is particularly good for mitigating financial risks or risks to assets.

The transfer of risks may be considered to either reduce the exposure of Seagull Maritime or because another organisation is more capable of/or appropriate for effectively managing the risk i.e., a local provider. It is important to note that some risks are not (fully) transferable – it is generally not possible to transfer reputational risk[3] even if the delivery of a service is contracted out. The relationship with the third party to which the risk is transferred needs to be carefully managed to ensure successful transfer of risk.

Terminate

Some risks will only be treatable, or containable to acceptable levels, by terminating the activity or contract. The option to terminate can be particularly important in project management if it becomes clear that the projected cost / benefit relationship is in jeopardy.

Take The Opportunity

Taking the opportunity is not an alternative to the other treatments; rather it is an option which should be considered whenever we are tolerating, transferring or treating a risk.

There are two aspects to this. The first is whether at the same time as mitigating threats, an opportunity arises to 'exploit' or 'enhance' positive impact.

Risk responses for 'take the opportunity' can be described as:

Enhancing

A risk response for an opportunity that seeks to increase probability and/or impact to make it more certain.

[3] Potentially more concerning then 'Reputational risk' is 'Representation risk' this is the risk posed by an organisation representing our interests i.e. bribery, which is frequently a risk of concern when being 'represented' by a local partner.

Exploit

A risk response for an opportunity that seeks to make the situation certain.

When designing our controls, it is important that we ensure the control put in place is proportional to the risk. Apart from the most extreme undesirable outcome (such as loss of human life) it is normally sufficient to design control to give a reasonable assurance of confining likely loss within the Seagull Maritime risk appetite.

Every control action has an associated cost, and it is important that the control action offers value for money in relation to the risk that it is controlling. The purpose of control is to constrain risk rather than to eliminate it.

POLICY, PLANS & PROCEDURES

Seagull Maritime may require that direction is documented to ensure that we achieve our desired outcomes.

When we document, we will take care to be as concise as possible and avoid irrelevant information or "filler" that does not add value or cause misinterpretation.

When documenting it should be:

- ✓ as necessary to support Seagull Maritime institutional memory / knowledge and competence, and
- ✓ to conform to legal and regulatory requirements.

We may depart from this guidance when documentation is required to serve additional purposes such as marketing or sales purposes.

As Seagull Maritime operational capability and scale increases, our need to document processes and procedures and record our activities will increase also. As this occurs, we will account for factors such as longer lines of communication and to ensure a reliable and consistent approach by what may be a larger staff and/or operating personnel responsible for executing our work consistent in a manner with Seagull Maritime values, mission and vision.

RISK REVIEW AND REPORTING

We need to review and report on our management of risk for the following reasons:

- ✓ To monitor whether the risk profile is changing.
- ✓ To gain assurance that our risk management is effective, and to identify when further action is necessary.

We have created a Risk Review Schedule to:

- ✓ Review whether risks still exist, whether new risks have arisen, whether the likelihood and impact of risks has changed, report and, if necessary, escalate significant changes which alter the significance of risk, and deliver assurance on the effectiveness of control(s).
- ✓ Review the overall risk management process to ensure that it remains appropriate and effective.

Seagull Maritime will review this Risk Management policy and framework annually at a minimum or sooner where significant business change occurs.

Seagull Maritime will review the risk register, our risk categories and our internal and external context every 3 months for the first year this framework has been issued after which we will assess if we can amend this review schedule and update this policy and framework.

COMMUNICATION

For Seagull Maritime, communication is not a stage in management of risk or any process but an integral part of our business.

The identification of new risk or changes in risk is dependent on our communication within and without the business.

Communication within Seagull Maritime about risk and risk management is important as:

- ✓ it ensures we all understand, in a way appropriate to our role[4], what our risk Policy and Framework (practices) are, what our appropriate Risk Criteria and priorities are, and how our responsibilities in the organisation fit into that framework.
- ✓ there is a need to ensure that transferable lessons are learned and communicated to those who can benefit from them within (and without) Seagull Maritime. For example, if one of us or a department encounters a new risk and devises an effective control to deal with it, that lesson should be communicated to all others who may also encounter that risk.
- ✓ there is a need to ensure that each level of management, including the directors, actively seeks, and receives appropriate and regular assurance about the management of risk within their span of control. They need to be provided with sufficient information to allow them to plan action in respect of risks where the residual risk is not acceptable, as well as assurance about risks which are deemed to be acceptably under control.
- ✓ As well as routine communication of such assurance, there should be a mechanism for escalating important risk issues which suddenly develop or emerge (see Risk Review and Reporting).

Communication with our supply chain and partner organisations about risk issues is also important (see the External Context), especially if we are dependent on the other organisation, not just for a particular contract but for direct delivery of a service or product on our behalf.

It is important to communicate with stakeholders about the way in which Seagull Maritime is managing risk to give them assurance that we will deliver in the way which they expect, and to manage interested party expectations of what we can deliver.

[4] An understanding 'appropriate to role' means individuals need not be overwhelmed by information irrelevant or at the wrong level of risk hierarchy for their responsibilities and accountabilities or to perform their role.

EXERCISE & TESTING

Seagull Maritime will use exercises and stress testing to test the appropriateness and efficacy of our risk treatments (internal controls): plans, processes and procedures, including business partner relationships and subcontractor interdependencies. As such, exercise scenarios shall address issues identified in our risk assessments as well as stress test the risk management procedures to identify potential problems or weaknesses.

Exercises shall be conducted regularly (at least annually) or following significant changes to our mission and/or structure or following significant changes to the external environment.

Our first set of exercises will be conducted within 6 months of the issue of this policy and framework and reviewed for future scheduling thereafter.

We will document the actions and results after each exercise. This will allow us to review outcomes and assess the appropriateness and efficacy of our plans, processes and procedures, including any problems encountered and improvement action required.

CHANGE MANAGEMENT

Change and the outcome/effectiveness of managing change is recognised as an uncertainty, and as such may be considered a 'risk'. As a risk, we manage change through good risk management processes as described in this framework.

The aim of managing a 'change risk' is to deliberately use a structured approach that increases the likelihood of ensuring change is thoroughly and smoothly implemented, and that the lasting benefits of change are achieved.

Signed:

Darren Watts

Group Compliance Director

15/07/2025